

## Outlook

|      |                                                                           |
|------|---------------------------------------------------------------------------|
| From | leanne.adams@model.risk.keystonebank.co.za                                |
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## Does the model treat data quality as customer risk? - 2024 control review

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Hi all,

I may be joining dots that do not belong together, so please challenge the premise.

Model Risk is concerned that channel, document availability and data completeness may become proxies for customer groups rather than genuine risk. There is no confirmed problem yet; this is a request to test an assumption before it becomes policy.

Could the answer be that branch and digital populations differ before modelling? Or are we actually seeing that missing documents drive predictions? I also do not want us to miss the possibility that performance gaps disappear after controlling for product and income.

This has returned because the previous answer was useful but not strong enough to become a standing rule. Use October 2024 as the new evidence point rather than recycling the earlier conclusion. The practical decision is which features need restriction, monitoring or clearer business justification. Please send a model-ready table, data dictionary and an honest baseline; I need the exceptions and counter-examples, not only an average.

Work from monthly customer and KYC snapshots; monthly account snapshots, status events, limits, product enrolments and signatories; the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; collections cases, promises to pay and recovery payments. Protected-attribute analysis must be governed and access-controlled; do not use ethnicity or gender for targeting or adverse treatment.

Regards